

Four Pillars of Investment Success: Discover ICICI Prudential Freedom SIP



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There's so much investment advice floating around today that it can often feel confusing or overwhelming. But if all of it could be distilled into one simple, timeless framework, it would be this - goal-based planning, regular investing, a long-term focus and spreading out your investments are the four essential pillars of investment success. ICICI Prudential's Freedom SIP is an investing solution that builds on these four investment tenets - providing direction, discipline, duration and diversification to your investments. The ICICI Prudential Freedom SIP allows periodic investments through Systematic Investments Plans (SIP) in a source mutual fund scheme. Investors can choose the source scheme, the SIP amount and tenure of this accumulation phase based on their investment objective and risk tolerance. After the pre-defined tenure,

the accumulated funds are shifted to a target mutual fund scheme from which periodic Systematic Withdrawal Plans (SWP) can commence.

Direction

Goal based investing is an investment approach in which investments are aligned to specific financial goals. Investors can set up separate Freedom SIPs for each of their goals. For example, 40-year-old Rakesh is a working professional with a 10-year-old son. His financial goals include son's higher education 8 years from now, buying a house 12 years from now, getting his son married 15 years from now and retiring 20 years from now. Rakesh can set up an 8-year Freedom SIP for funding his son's education, a 12-year Freedom SIP to build a corpus for buying a house, a 15-year Freedom SIP for collecting funds for his son's marriage and a 20-year Freedom SIP to start saving for retirement. This way of investing has several benefits. Knowing what you're saving for makes it easier to stay committed and encourages consistent saving and investing habits. A goal-based approach helps you stay focussed on the long term and helps avoid random or emotional investment decisions like panic selling or impulsive buying. Based on the goal, the investment can be customized in terms of asset classes and investment vehicles. As we track the progress towards specific goals, we not only stay motivated but can also course correct if we are off-track.

Discipline

The automated nature of Freedom SIPs ensures investors stay consistent with their savings and investments.

It also discourages investors from timing the markets which can often be counterproductive as investors tend to buy more when markets are doing well and may panic and sell when markets falter, thus buying high and selling low. Instead, the regular nature of Freedom SIP results in investors buying more units when markets are down and fewer units when markets are up, thus averaging out the cost of investment over time. Freedom SIPs also lead to disciplined withdrawals through the SWP arrangement. This ensures the funds are withdrawn in a staggered manner and not as in a haphazard way in times of panic or market corrections. Systematic withdrawals also ensure that a part of the investment stays invested and bears returns.

Duration

As Freedom SIPs can be mapped to specific financial goals, they encourage a long-term focus. The Freedom SIP which breaks down investments into small lots can encourage investors to start small instead of waiting to accumulate sizeable funds before investing. As savings start getting invested earlier, they stay invested for longer, thus benefitting from a longer investment period and the power of compounding.

Diversification

The underlying investment of Freedom SIPs are mutual funds. Mutual funds are diversified investment vehicles which invest money across asset classes and securities. Freedom SIPs thus reduce the risk of concentrated investments which Do-It-Yourself investors with limited capital would otherwise face.